Insurance Claim Dispute

Background

Internal reference code: CNRY-92eeefce.

On March 12, 2024, Brightmoor Foods experienced a significant fire at our primary packaging facility in Lyon, France. The incident resulted in approximately EUR 2.5 million in property damage, including the destruction of critical production lines and inventory. We filed an insurance claim with our provider, Europa Assurance, on March 15, 2024, requesting the full amount for repairs, replacements, and business interruption losses.

Claim Details and Initial Response

Our claim, reference number EA-2024-BF-001, was acknowledged by Europa Assurance on March 20, 2024. However, by May 1, 2024, we received a partial payment of only EUR 1 million, with a notice indicating that the remaining EUR 1.5 million was under review due to "discrepancies in reported inventory values."

Dispute Arises

Following this, our legal team, led by Senior Counsel Anna Müller, engaged with Europa Assurance to resolve the dispute. On May 15, 2024, we submitted a detailed rebuttal, including:
- **Inventory Audit Report**: Conducted by Deloitte, showing pre-fire inventory valued at EUR 1.2 million.
- **Repair Estimates**: From certified contractors, totalling EUR 1 million for production line restoration.
- **Business Interruption Analysis**: Prepared by our financial advisors, indicating a loss of EUR 300,000 over three months.

Despite this, Europa Assurance issued a final offer on June 4, 2024, reducing the claim to EUR 1.3 million, citing "excessive repair estimates" and "inflated inventory values."

Next Steps

We are now preparing for formal arbitration, as recommended by our external legal advisors at Lévy & Associates. The arbitration will be held before the International Chamber of Commerce (ICC) in Paris, beginning on July 10, 2024. Our goals for arbitration are to:
- Present all documented evidence of losses.
- Challenge Europa Assurance's valuation methods.
- Seek full compensation of the original EUR 2.5 million, plus interest and legal costs.

We anticipate the arbitration process will take approximately six months. All relevant documents and communication logs are stored in our case management system, CasePro, under matter ID LM-BF-2024-007.

We will keep all departments updated bi-weekly on progress.